

City of Williams
Annual Development Impact Fee Report
Fiscal Year Ended June 30, 2025

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1. DEVELOPMENT IMPACT FEE REPORT

The California Mitigation Fee Act (Government Code Sections 66000 et seq.) mandates procedures for administration of impact fee programs, including collection and accounting, reporting, and refunds. Regarding reporting requirements, the Mitigation Fee Act requires annual reporting for each impact fee fund, and a separate five-year reporting process. This report meets the requirements described in 1.1 Annual Report, below. A combined Annual and Five-Year Report will be provided for the Fiscal Year ending June 30, 2029.

1.1 Annual Report

Section 66006 (b) (1) requires that once each year, within 180 days of the close of the fiscal year, the local agency must make available to the public the following information for each separate account established to receive impact fee revenues:

1. A brief description of the type of fee in the account or fund; *(report section 2)*
2. The amount of the fee; *(report section 2 and attachment)*
3. The beginning and ending balance of the account or fund; *(report section 3)*
4. The amount of the fees collected and interest earned; *(report section 3)*
5. Identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the percentage of the cost of the public improvement that was funded with fees; *(report section 4)*
6. Identification of the approximate date by which the construction of a public improvement will commence, if the City determines sufficient funds have been collected to complete financing of an incomplete public improvement; *(report section 4)*
7. A description of each inter-fund transfer or loan made from the account or fund, including interest rates, repayment dates, and a description of the improvement on which the transfer or loan will be expended; *(report section 5)*
8. The amount of any refunds or allocations made pursuant to Section 66001, paragraphs (e) and (f). *(report section 6)*

The annual report must be reviewed by the City Council at its next regularly scheduled public meeting, but not less than 15 days after the statements are made public, per Section 66006 (b) (2).

1.2 Five-Year Reporting Requirements

Prior to 1996, The Mitigation Fee Act required that a local agency collecting impact fees was required to expend or commit impact fee revenue within five years or make findings to justify a continued need for the money. Otherwise, those funds had to be refunded. SB 1693, adopted in 1996 as an amendment to the Mitigation Fee Act, changed that requirement in material ways.

Now, Section 66001 (d) requires that, for the fifth fiscal year following the first deposit of any impact fee revenue into an account or fund as required by Section 66006 (b), and every five years thereafter, the local agency shall make all of the following findings for any fee revenue that remains unexpended, whether committed or uncommitted:

1. Identify the purpose to which the fee will be put;
2. Demonstrate the reasonable relationship between the fee and the purpose for which it is charged;
3. Identify all sources and amounts of funding anticipated to complete financing of incomplete improvements for which impact fees are to be used;
4. Designate the approximate dates on which the funding necessary to complete financing of those improvements will be deposited into the appropriate account or fund.

Those findings are to be made in conjunction with the annual reports discussed above. If such findings are not made as required by Section 66001, the local agency could be required to refund the money in the account or fund, per Section 66001 (d).

Once the agency determines that sufficient funds have been collected to complete financing on incomplete improvements for which impact fee revenue is to be used, it must, within 180 days of that determination, identify an approximate date by which construction of the public improvement will be commenced (Section 66001 (e)). If the agency fails to comply with that requirement, it must refund impact fee revenue in the account according to procedures specified in Section 66001 (d).

2. CURRENT IMPACT FEES

Development impact fees in the City of Williams are one time charges levied on new development in Williams to fund various infrastructure, facilities, vehicles, and equipment. These impact fees were approved by City Council on July 6, 2020 and updated annually based on the Consumer Price index. The current impact fee schedule is included at the end of this report.

2.1 Types of Impact Fees and Impact Fee Funds

The fees documented in the body of this Annual Development Impact Fee Report (Report) include the following fees listed below. The revenue and expenditures for each fee type is tracked by the City in a separate fund.

Fund No.	Fee Name	Purpose and Use of the Fee
260-604	Flood Hazard Reduction - Storm Drain	Storm drain impact fees are collected to fund infrastructure improvements required to manage increased stormwater runoff from new developments. These fees support the design, construction, and expansion of storm drainage systems to prevent flooding, protect water quality, and ensure compliance with regulatory standards.
260-503	City Facilities - Administration	The purpose of the administration facilities fee is to fund City administration facilities costs attributable to the impact from new development. The administration facilities fee will be used to fund the construction of administration building space that has been identified by the City to serve new development.
260-505	Police	The purpose of the police fee is to fund the fair share portion of police facilities, vehicles, and equipment costs attributable to the impact from new development. The police fee will be used to fund the purchase or construction of police station facilities, vehicles, and equipment identified by the City to serve new development.
260-506	Fire	The purpose of the fire fee is to fund fire facilities costs attributable to the impact from new development. The fire fee will be used to fund the fair share portion of fire stations, fire vehicles and equipment.
260-508	Park In Lieu	Park-in-lieu fees are governed by the Quimby Act (GC 66477), not the Mitigation fee Act, and are not subject to the same standards of reporting as other impact fees. However, the Quimby Act does contain requirements to schedule and plan for the use of funds collected and any fees not committed within five years must be refunded. The financial summary for Park-in-Lieu fees is provided for informational purposes only since they are often charged, administered, and spent in a manner like development impact fees.

Fund No.	Fee Name	Purpose and Use of the Fee
260-509	Parks and Recreation	The purpose of the parks and recreation fee is to fund park and recreation facilities attributable to the impact from new development. The parks and recreation fee will be used to fund the construction of park and recreation facilities that have been identified by the City to serve new development.
260-510	Traffic	The purpose of the traffic fee is to fund transportation facilities costs attributable to the impact from new development. The transportation fee will be used to fund the construction of transportation-related facilities identified by the City as necessary to serve new development.
260-510	Street Intersections	The purpose of the street intersections fee is to pay for traffic control facilities at street intersections. Currently the entirety of the funding is for the traffic control facilities at Marguerite and Highway 20.

2.2 Current Fee Schedule

The Attachment to this Report provides a copy of the current impact fee schedule for the City of Williams.

3. FINANCIAL SUMMARY REPORT

The following financial summary report provides a statement of revenue, expenditures, and changes in fund balance for each impact fee fund, for the Fiscal Year End June 30, 2025.

Fund No.	260-604	260-503	260-505	260-506	260-508	260-509	260-510	260-510	
Description	<u>Flood Hazard Reduction</u>	<u>City Facilities</u>	<u>Police</u>	<u>Fire</u>	<u>Park In Lieu</u>	<u>Parks</u>	<u>Traffic</u>	<u>Street Intersections</u>	<u>Totals</u>
REVENUES									
Fees	47,827	47,976	90,789	101,648	-	-	13,659	-	301,899
Interest	10,605	4,515	-	-	-	-	22,068	18,116	55,304
Loan Payments	-	-	-	-	-	-	-	-	-
Other Revenue	-	-	-	-	-	-	-	-	-
Transfers In	-	-	-	-	-	-	-	-	-
Total Revenues	58,432	52,491	90,789	101,648	-	-	35,727	18,116	357,203
Expenditures									
Expenditures	159,885	-	-	101,648	-	-	10,462	-	271,995
Loan Payments	-	-	-	-	-	-	-	-	-
Total Expenditures	159,885	-	-	101,648	-	-	10,462	-	271,995
REVENUES OVER (UNDER) EXPENDITURES	(101,453)	52,491	90,789	-	-	-	25,265	18,116	85,208
Fund Balance, Beginning of the Year	391,468	70,981	(138,131)	-	-	-	578,259	477,342	1,379,919
Fund Balance, End of the Year	290,015	123,472	(47,342)	-	-	-	603,524	495,458	1,465,127

4. PUBLIC IMPROVEMENTS

This section of the Annual Report identifies each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the percentage of the cost of the public improvement that was funded with fees.

FISCAL YEAR 2024/25 PUBLIC IMPROVEMENT EXPENDITURES

Fund	Fund Name	Project Name	Project Start	Project Finish	Project Phase	Total Project Funding	Total Impact Fee Funded Amount	% Impact Fee Funded	Total Prior Year Impact Fee Expenditures	FY 2025 Impact Fee Expenditures	Impact Fee Funding Remaining
260-506	Fire	Fire District Impact Expenditures	2024/25	2024/25	Active	\$ 101,648	\$ 101,648	100%	\$ -	\$ 101,648	\$ 0
260-510	Traffic	Highway 20 / Marguerite Street Intersection	2023/24	2024/25	Active	\$ 99,636	\$ 99,636	100%	\$ 89,174	\$ 10,462	\$ 0
260-504	Flood Hazard Reduction	Vactor Freightliner used for Storm Drains	2024/25	2024/25	Active	\$ 479,656	\$ 159,885	33%	\$ -	\$ 159,885	\$ 0
TOTAL						\$ 680,940	\$ 361,169		\$ 89,174	\$ 271,995	\$ 0

The Mitigation Fee Act also requires annual identification of the approximate date by which the construction of a public improvement will commence, if the City determines sufficient funds have been collected to complete financing of an incomplete public improvement. The projects listed above represent active uses of impact fee funds to complete current capital improvement projects. Other than the projects listed in the table above, the City has not identified any public improvements that have sufficient funds as of June 30, 2025, to complete the financing on incomplete public improvements.

5. INTERFUND LOANS

The Mitigation Fee Act requires a description of each inter-fund transfer or loan made from the account or fund, including interest rates, repayment dates, and a description of the improvement on which the transfer or loan will be expended. There were no interfund transfers or loans made between impact fee funds in Fiscal Year 2024-25. There is a deficit in the Police Development Impact Fee as of 6/30/2025 totaling \$47,342 which is not covered by an interfund loan. This deficit was incurred during the rehabilitation of the current police department headquarters located at 700 North Street, Williams, CA 95987. This deficit is anticipated to be paid back within four years of this report by 6/30/2029 utilizing future years Police Development Impact Fees.

6. REFUNDS

As discussed in section 4 of this report, in Fiscal Year 2024/25, no such determination has been made regarding sufficient funds collected to complete incomplete improvements. Therefore, no refunds were made or required. The refunding requirements for both the Mitigation Fee Act and the Quimby Act are summarized as follows:

Refunds under the Mitigation Fee Act: If the City determines that sufficient funds have been collected to complete financing on incomplete improvements for which impact fee revenue is to be used, it must, within 180 days of that determination, identify an approximate date by which construction of the public improvement will be commenced (Government Code Section 66001 (e)). If the agency fails to comply with that requirement, it must refund impact fee revenue in the account according to procedures specified in Section 66001 (d).

Refunds under the Quimby Act. *The Quimby Act, Section a.(6)(A) requires that a City, County or other agency to which park land or in-lieu fees are conveyed or paid shall develop a schedule “specifying how, when and where it will use the land or fees or both to develop park or recreational facilities to serve residents of the subdivision.... Any fees collected under the ordinance shall be committed within five years after the payment of the fees or the issuance of building permits on one-half of the lots created by the subdivision, whichever occurs later. Any fees not committed within five years must be refunded.*

ATTACHMENT

Current Impact Fee Schedule